

Fearnleys Dry Bulk Weekly

Jun 17, 2026



Capesize/Newcastlemax

Last week, we wrote *"Demand/supply fundamentals remains firmly positive, so the market will likely remain higher than the same period last year in the next month at least. Still, the near-term indicators remains in "toppish" territory so the market could correct a bit more before finding its footing."*

Lower bunker prices and a wide spread between c3 and c5 mean vessels will ballast to the Atlantic. C5 is likely in a bottoming process, but the rest of the market could correct more.

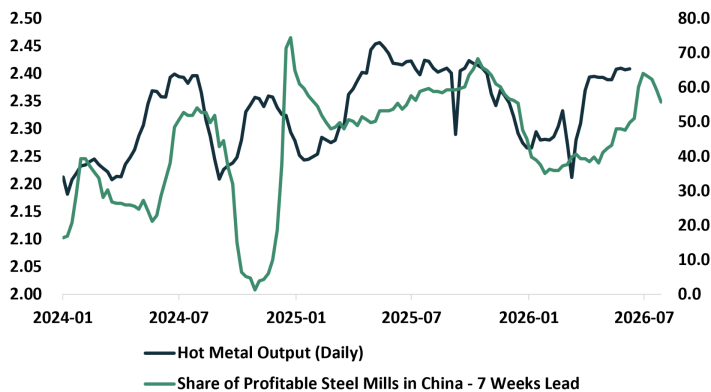
Top left chart: The share of profitable steel mills dropped further last week, strongly suggesting that blast furnace output will drop starting next month. The share of profitable steel mills usually leads output by 6-8 weeks.

Top right chart: Shipment volumes were 5.8% higher than last year through week 24. Volume growth keeps falling, but supply growth remains at just 1.5%. So, unless there is a sudden sharp drop in demand growth, the market will likely keep staying higher than last year.

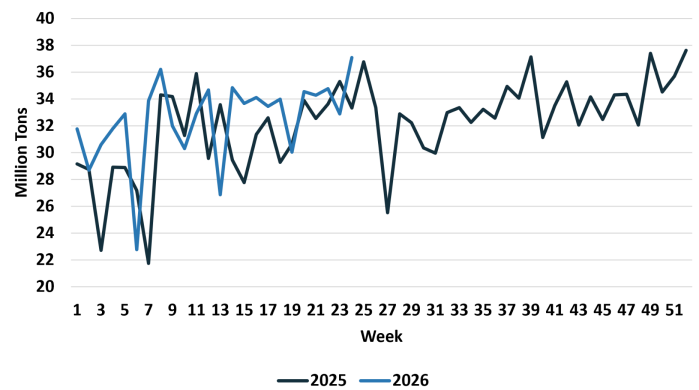
Bottom left chart: The SATI increased noticeably last week, and strongly suggests the market will correct further.

Bottom right chart: The laden/ballast ratio fell in the last week. It remains around the longer-term average and thus does not suggest anything clear in either direction.

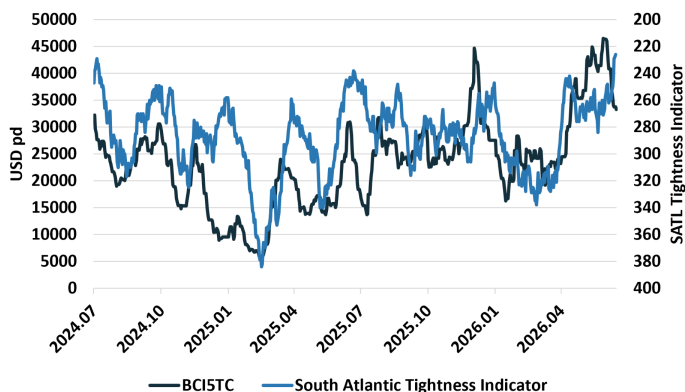
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



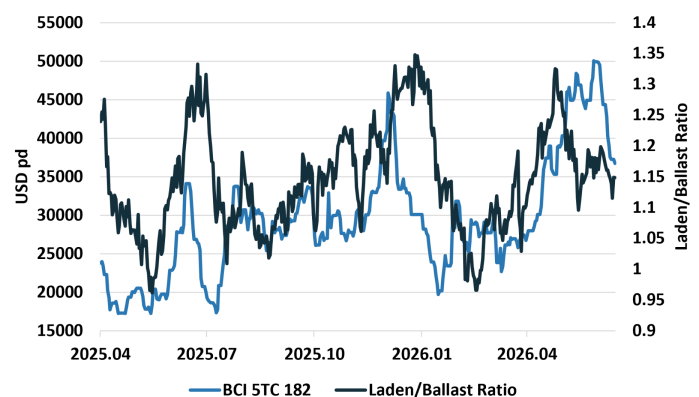
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

Last week, we wrote *"The below indicators still suggest bearishness in the near-term. Still, a major correction is hard to expect, as demand/supply fundamentals remain positive, and as the Ultramax and Handysize markets are firm."*

Still, it seems like the market will soften in the near-term, with tentative signs from the below indicators suggesting a bottom next month. Otherwise, it is worth noting that the gap between supply and demand continues to narrow. If supply and demand growth are the same, it should mean the market will average the same as last year (BPI82 was 16kpd in Q3 last year). That is not bearish levels historically, but it is bearish compared to current levels.

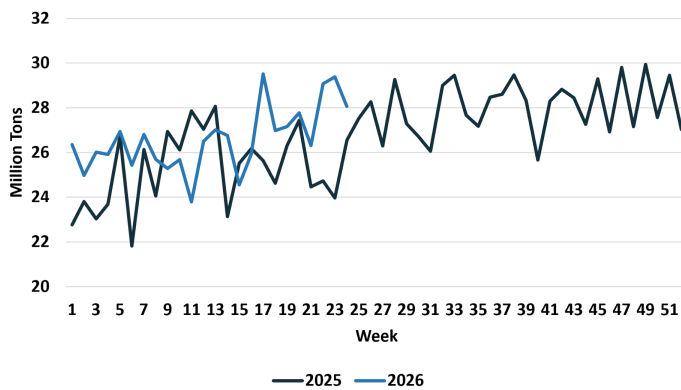
Top left chart: Shipment volumes were up 5.2% year on year through week 24, decreasing slightly from the previous 3 weeks. Supply growth was 4.6% at the latest reading.

Top right chart: The coal futures curve continues to whipsaw, along with the rest of the energy complex. The curve is now backwardated again, which suggests P5 will rebound, most likely next month.

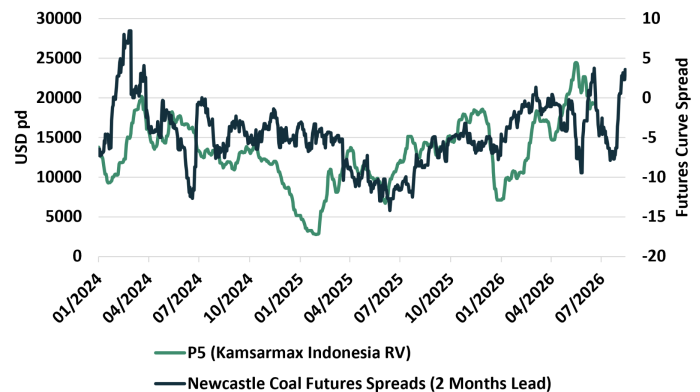
Bottom left chart: The Pacific tightness indicator still suggests the market will soften in the near-term.

Bottom right chart: The SATL tightness indicator has swung up a bit since last week. If it continues, it will suggest a bottom next month.

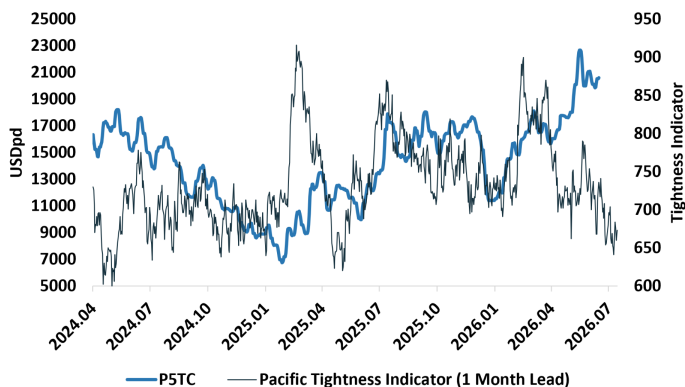
Weekly Shipment Volumes



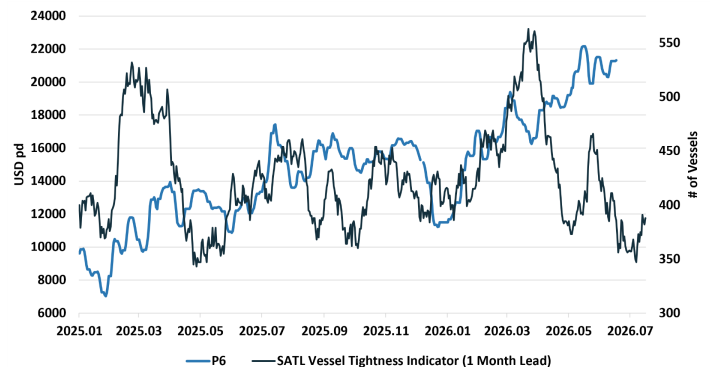
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

The gap between demand and supply is very narrow. Volume growth is below supply growth (4.8% vs 5.2%), but ton x time growth is probably still higher, at around 6%. Therefore, the market is likely to hold firm for at least another month, but should volume growth continue to decrease, it will be harder for the market to stay higher than the same period last year.

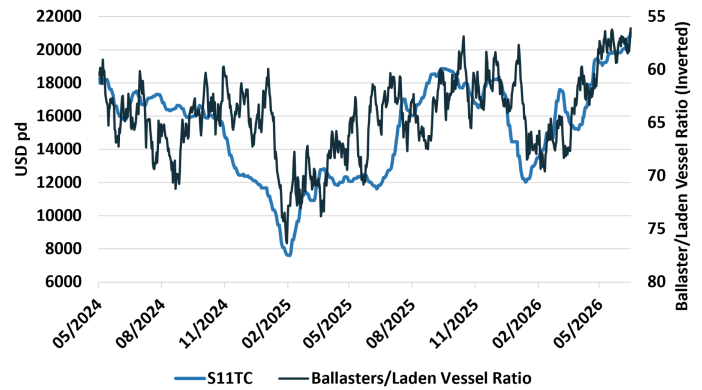
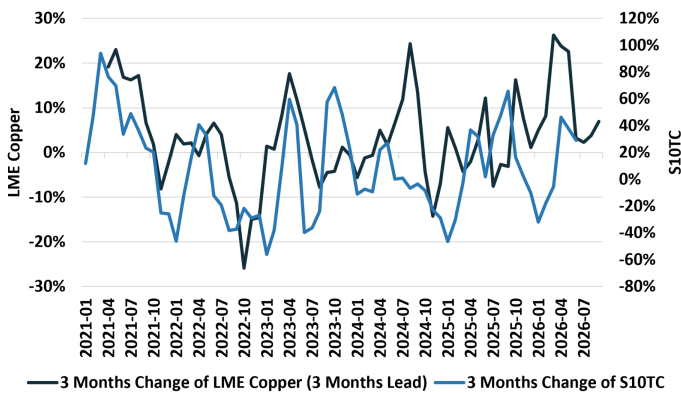
Top left chart: The three-month change in the price of copper suggests the market will remain firm for the next couple of months.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

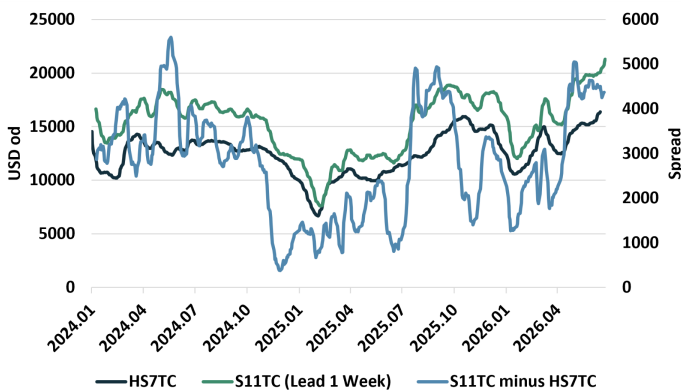
Bottom left chart: The Ultramax spread over the Handysize index remains high, which usually means further upside is limited in the near-term. However, as both markets keep climbing, this ratio has meant little in terms of suggesting a peak in the last month.

Bottom right chart: Shipment volumes growth was to 4.8% through week 23. Volume growth is thus below supply growth. The market is being held up by ton-miles due to the rerouting of MEG volumes, along with slower steaming.

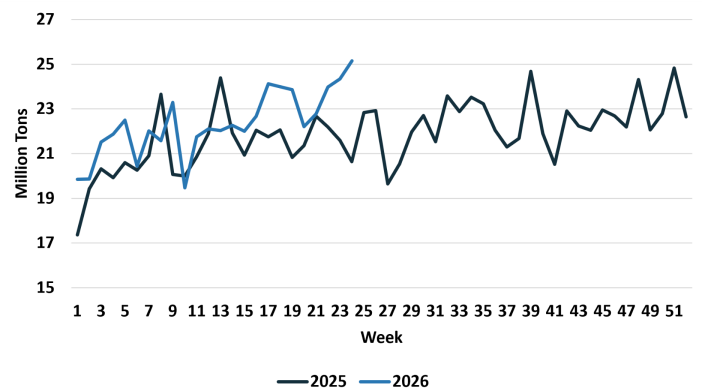
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



S11TC / HS7TC spread



Weekly Shipment Volumes





Handysize

The Supra/Ultra market keeps climbing, industrial metals prices suggest continued strength, and the demand/supply gap is positive - albeit at a much narrower rate than earlier this year. The market will likely remain firm/stable in the next month at least.

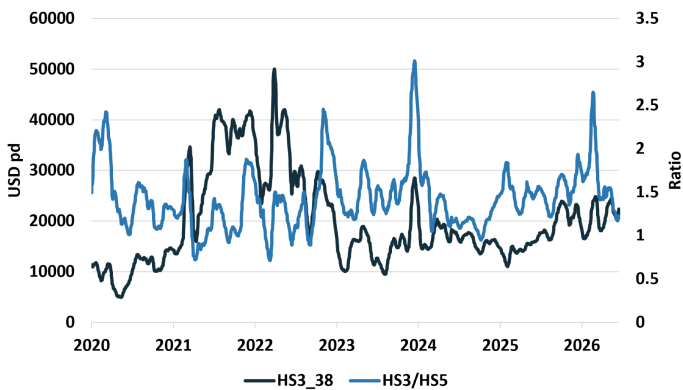
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 23, Handysize shipment volumes were 3.1% higher year on year, decreasing from over 4% earlier this year. Supply growth is under 3% so fundamentals remain positive, but the gap is getting very narrow.

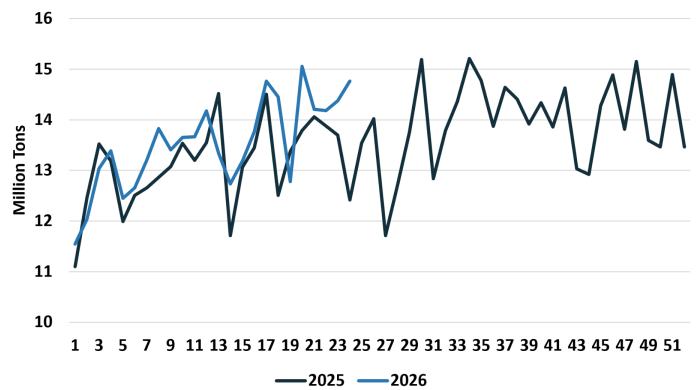
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

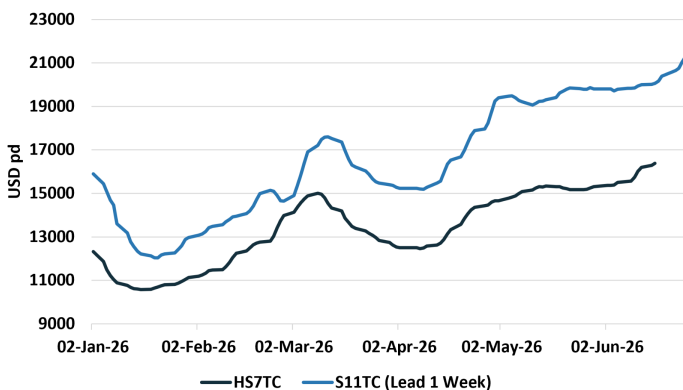
HS3 vs Ratio of HS3 and HS5



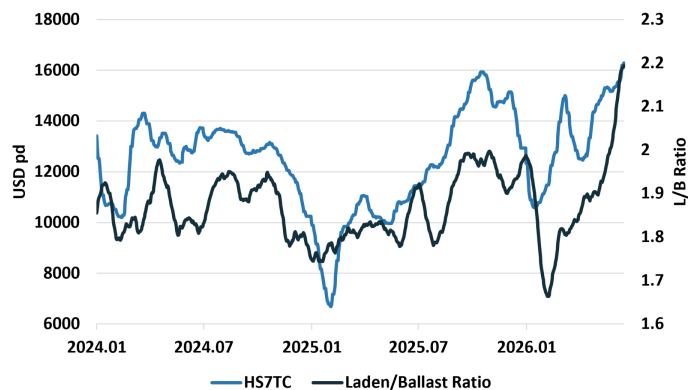
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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